OCAD - ONE COMPANY A DAY

SERIES: LUXURY

LVMH Moët Hennessy Louis Vuitton SE

MC | Euronext Paris

EUR 384.05 per share

Closing price, Tuesday 13 October 2026, latest completed trading day



LVMH (MC) daily closing price, 27 May 2026 to 13 October 2026, EUR per share. Source: Alpha Vantage, Euronext Paris daily series.

REPORT DATE
14 October 2026

ANALYST
Arthur Faugeron

SERIES
Luxury

EXCHANGE
Euronext Paris

Executive Summary

LVMH is the largest luxury group by revenue, but its share price has fallen 38.3% including dividends (39.2% price only) since the end of 2025 to €384.05, a 58% decline from the April 2023 closing peak, while operating income has fallen more than a fifth from its 2023 high. At 17.5 times trailing earnings and 9.3 times EBITDA, the market is pricing a lasting margin reset in Fashion and Leather Goods rather than a cyclical air pocket.

Business

LVMH owns 75 maisons across five groups and reported FY2025 revenue of €80.8bn, of which Fashion and Leather Goods (Louis Vuitton, Dior, Fendi, Celine, Loro Piana) is 47% of revenue and 74% of group profit from recurring operations. Customers are individuals spread across the United States (26% of revenue), Asia excluding Japan (26%), Europe excluding France (18%), other markets (14%), France (8%) and Japan (8%), reached through 6,283 stores and selective retail platforms such as Sephora.

Financial Condition

FY2025 revenue fell 4.6% reported (down 1% organic) to €80.8bn, profit from recurring operations fell 9% to €17.8bn (22% margin) and net profit attributable to shareholders fell 13% to €10.9bn. Operating cash flow was €18.9bn, free cash flow after capex and lease payments was €11.3bn, and net financial debt was €6.9bn at December 2025 and €8.2bn at June 2026, equal to about 0.4 times EBITDA before leases and 1.0 times including lease liabilities.

Market Position

Main competitors are Hermès, Kering, Richemont and, in beauty and spirits, L'Oréal, Estée Lauder, Diageo and Pernod Ricard. LVMH's advantage is breadth and scale: no rival has comparable positions in leather goods, jewelry, selective retail and Champagne and Cognac; its weakness is that 47% of revenue and 74% of profit depend on Fashion and Leather Goods, where Q3 2026 organic revenue fell 5%.

Valuation

At €384.05 the market capitalization is €189.4bn and enterprise value about €215.8bn including lease liabilities. Trailing P/E is 17.5 times, EV/EBITDA 9.3 times, EV/EBIT 12.4 times, P/FCF 13.2 times (before lease payments), price to sales 2.4 times and the dividend yield 3.4% on the €13.00 FY2025 dividend.

Investment Framework

WHAT IS ATTRACTIVE	Return on invested capital of about 14% after a 5.7% capex burden, a net financial debt of only 0.4 times EBITDA, a multiple of 9.3 times EBITDA that is well below Hermès and Richemont at about 17 times, and a 50% family shareholder that controls strategy.
WHAT IS CONCERNING	Two consecutive years of margin decline, from 26.4% in 2023 to 21.9% in 2025, Q3 2026 Fashion and Leather Goods organic revenue of minus 5%, Chinese demand weakness, and a personal luxury market that Bain estimates was flat to down in 2025.

WHAT MUST GO RIGHT	Louis Vuitton and Dior must return to low single digit organic growth so that fixed costs are absorbed again, and group margin must stabilise at or above about 21% to 22%.
WHAT COULD BREAK THE THESIS	A structural loss of aspirational customers in China, further price driven volume declines, or a sustained fall in Fashion and Leather Goods margin below 30%.
PRICED IN	A reverse DCF at an 8.0% WACC and 2.5% terminal growth shows today's price is consistent with an operating margin about 2 percentage points below the base case path, that is about 19.6% to 20.5% rather than 21.6% to 22.5%.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High. 66.2% gross margin, 22% operating margin and 14% ROIC even after the downturn
Financial quality	High. Operating cash flow was 1.7 times net income in FY2025 and capex fell from 8.7% to 5.7% of revenue in two years
Competitive position	Strong overall, mixed by segment. Moat is strong in leather goods and Champagne, moderate in perfumes and retail
Growth profile	Weak near term. 9M 2026 organic growth of 2%; four year revenue CAGR of 5.9% from 2021 to 2025 was driven by 2021 to 2023 pricing and the Tiffany acquisition
Balance-sheet risk	Low. Net financial debt of €8.2bn against €68.9bn equity; leases add about €16bn
Valuation	Moderate. Lowest EV/EBITDA among the large luxury peers; consistent with a margin reset rather than a collapse
Market and technical profile	Weak trend, oversold. Price below 50 and 200 day averages, RSI near 36, at the 52 week low

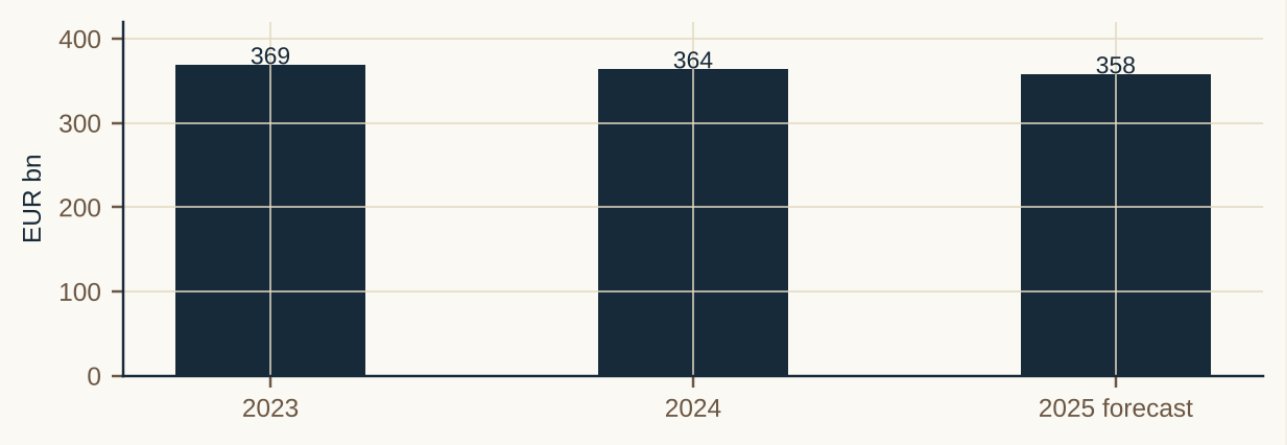
Source: analyst assessment based on company reports and market data described in section G.

A. About the Business

A1. Business Environment

LVMH operates in personal luxury goods, defined by Bain and Altagamma as branded apparel, leather goods, footwear, jewelry, watches, eyewear and beauty sold at price points that signal status rather than utility. Bain estimates the personal luxury goods market at €358bn in 2025, down about 2% at current exchange rates and flat at constant rates, from €364bn in 2024 and €369bn in 2023. Total luxury spending, including cars, hospitality, yachts and art, is about €1.44 trillion. The value chain runs from raw materials and craftsmanship through brand creation, wholesale or own retail, and, increasingly, direct to consumer. Value is captured by the brand owner: vertically integrated houses with their own stores keep the full retail margin, which is why gross margins of 66% to 70% are common and why the largest cost pools are marketing, store occupancy and staff rather than materials.

Personal luxury goods market, worldwide



Source: Bain & Company and Altagamma, Luxury Study, November 2025. Units: EUR bn at current exchange rates; 2025 is a forecast.

Industry economics are driven by brand heat and customer breadth. The customer base fell from about 400 million in 2022 to about 340 million in 2025, active shoppers fell from about 60% to 40% to 45% of the addressable base, and new customer acquisition fell 5% between 2024 and 2025 (Bain and Altagamma). The top tier of the market, about 40% of sales, shrank at a 1% to 3% annual rate in 2023 to 2025, and the accessible tier was flat to slightly negative. By region in 2025, China fell 3% to 5%, Europe fell 1% to 3%, the Americas were flat to up 2% and the Middle East grew 4% to 6%. The industry is cyclical, sensitive to wealth effects and tourist flows, lightly regulated, capital light at the brand level but capital intensive in retail real estate, and highly concentrated: a handful of groups hold most of the profit.

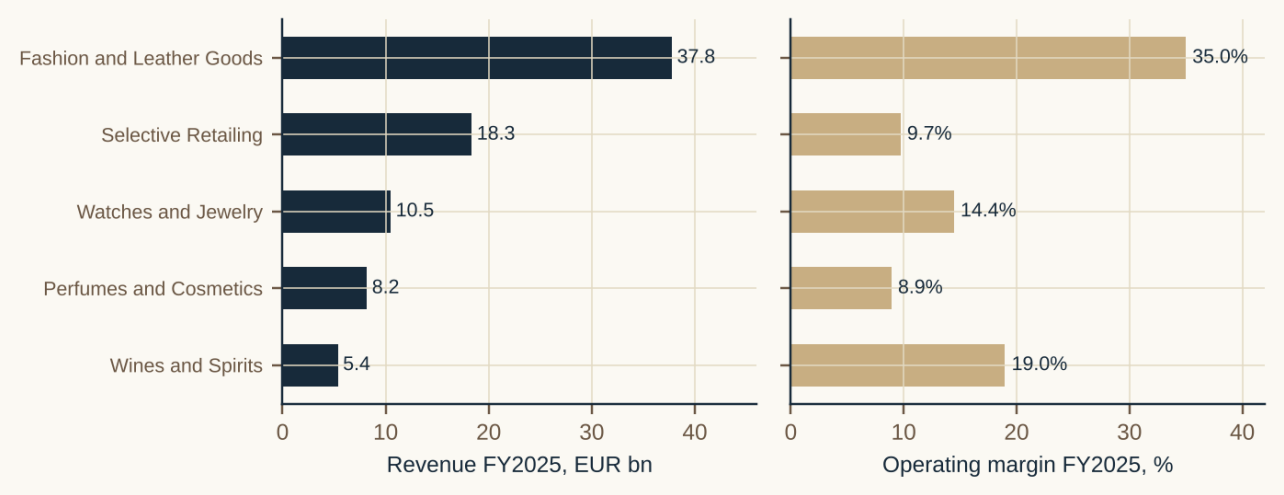
INDUSTRY STAGE

> Mature and normalising after a post-2020 boom. LVMH's own revenue grew 23.3% in 2022 and 8.8% in 2023 on price increases and pandemic savings, then fell in 2024 and 2025 once price elasticity returned. Bain sees a realistic long term growth rate of 4% to 6% a year, which implies €525bn to €625bn by 2035, so the sector is better described as mature with cyclical and consolidating features than as a growth industry.

A2. What Does the Company Do?

LVMH designs, makes and sells luxury goods through five business groups. Fashion and Leather Goods (€37.8bn revenue in FY2025) sells handbags, trunks, ready to wear and accessories through directly operated Louis Vuitton, Dior, Fendi, Celine, Loewe, Loro Piana and other stores; it is the profit engine, with a 35.0% operating margin and €13.2bn of profit from recurring operations. Selective Retailing (€18.3bn) operates Sephora, DFS and Le Bon Marché and earns a 9.7% margin on reselling third party brands. Watches and Jewelry (€10.5bn, 14.4% margin) includes Tiffany, Bulgari, TAG Heuer, Hublot and Zenith. Perfumes and Cosmetics (€8.2bn, 8.9% margin) combines Dior, Guerlain and Givenchy beauty with licences. Wines and Spirits (€5.4bn, 19.0% margin) sells Moët & Chandon, Dom Pérignon, Veuve Clicquot, Hennessy and Glenmorangie through distributors.

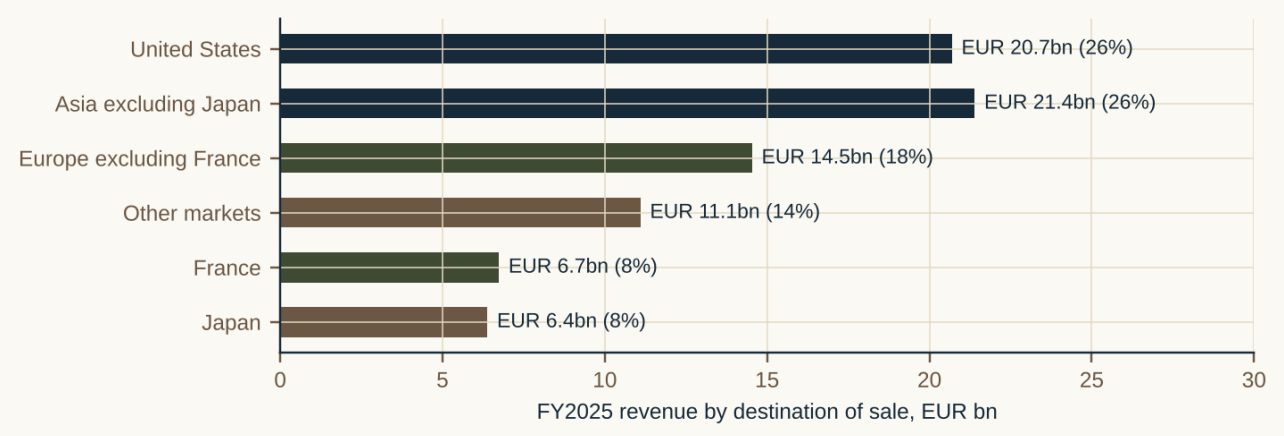
Revenue and operating margin by business group, FY2025



Source: LVMH full year 2025 results release. Units: EUR bn and percent of segment revenue. Margin is profit from recurring operations divided by segment revenue (calculated).

Pricing is set by the maison, not the market: LVMH raises list prices to protect scarcity and has historically passed through inflation and currency moves. Revenue is overwhelmingly non-recurring, one-off purchases by individuals, although repeat clients and the Sephora loyalty base provide some stability. Own retail dominates in Fashion and Leather Goods and Watches and Jewelry, while Wines and Spirits and part of Perfumes rely on wholesalers and distributors. The group's main costs are cost of goods (33.8% of revenue in FY2025 by difference between revenue and gross profit), store occupancy and staff, advertising and promotion, and depreciation of €6.1bn. Marketing and selling and general expense lines are not retrieved for this report. Capital requirements are heavy at the retail layer: capex was €4.6bn (5.7% of revenue) in FY2025 and €7.5bn (8.7%) at the 2023 peak, and inventories of €22.7bn equal about 303 days of cost of goods because leather goods, Cognac and watches are built and aged ahead of sale.

Revenue by geographic destination, FY2025



Source: LVMH 2025 Annual Report, key facts by region. Units: EUR bn and share of group revenue.

How one dollar of revenue is used

For every €100 of FY2025 revenue, €33.8 pays for goods sold, leaving €66.2 of gross profit. Operating expenses and other items take about €44 so that operating income is about €21.9 on the S&P Global basis (€22.0 on the company's profit from recurring operations measure). Net profit attributable to shareholders is €13.5. Operating cash flow is €23.4, of which €5.7 goes to capex and €3.7 to lease payments, leaving €14.0 of free cash flow after capex and leases, equal to the company's reported operating free cash flow of €11,333m.

1. CUSTOMER
Affluent and aspirational individuals. US 26%, Asia ex-Japan 26%, Europe ex-France 18%, other 14%, France 8%, Japan 8%.

2. PRODUCT AND SERVICE
75 maisons. Leather goods, fashion, jewelry, watches, beauty, Champagne and Cognac, Sephora retail.

3. REVENUE
€80.8bn in FY2025. Fashion and Leather 47%, Selective Retailing and other 23%, Watches and Jewelry 13%, Perfumes 10%, Wines and Spirits 7%.

4. COSTS
Cost of goods 33.8% of revenue. Rest is stores, staff, marketing and depreciation.

5. OPERATING PROFIT
€17.7bn to €17.8bn. Margin 21.9% to 22.0% against 26.4% in 2023.

6. CASH FLOW
Operating cash flow €18.9bn. Free cash flow after capex and leases €11.3bn.

7. CAPITAL ALLOCATION
Dividends €6.5bn, buybacks €1.6bn, debt repaid €5.1bn net, capex €4.6bn in FY2025.

Source: LVMH FY2025 results; S&P Global Market Intelligence statements via StockAnalysis; calculated per €100 of revenue. Operating income on the S&P basis is €17,668m against the company's €17,755m.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Arnault family and Agache	Controlling shareholders: 50.01% of capital and 65.94% of voting rights at 19 February 2026	Gives strategic stability and long horizons; holding structure is being simplified into a single listed partnership (Agache SCA) with a tender offer planned for Q1 2027
Diageo	Holds 34% of the Moët Hennessy Champagne and Cognac business	Minority interest and put or purchase commitments sit in other long term liabilities (€9.2bn on a broad S&P Global basis), a claim on equity value
Craftsmanship and production	117 production sites in France; 280 expert professions; leather tanneries and ateliers owned in house	Vertical integration protects quality and scarcity but fixes cost and capacity
Retail platform	6,283 stores, Sephora (about 100 new stores in 2025), DFS and Le Bon Marché	Own retail captures the retail margin; Sephora connects LVMH to beauty brands it does not own
Fashion and Leather maisons	Louis Vuitton, Dior, Fendi, Celine, Loewe, Loro Piana, Givenchy and others	Louis Vuitton alone is the main driver of the 35% margin; concentration risk
Watches and Jewelry maisons	Tiffany (acquired 2021, cash acquisitions of €13.2bn in 2021), Bulgari, TAG Heuer, Hublot, Zenith	Jewelry is the growing category (Bain: up 4% to 6%); Q3 2026 organic growth of 6%
Disposals	Marc Jacobs sold to WHP Global (1 September 2026)	Pruning of sub-scale brands; scope effect of minus 1% on 9M 2026 revenue
Major shareholders (other)	Free float of about 50%	Index and institutional holders; share price sensitivity to global flows

Source: LVMH 2025 Annual Report; LVMH Q3 2026 release (12 October 2026); Luxury Tribune (25 February 2026); Cosmetics Business (24 September 2026); StockAnalysis cash flow statement. Moët Hennessy ownership is from LVMH public disclosures.

Suppliers are fragmented because LVMH controls most of the critical steps itself, and customers are individuals, so counterparty risk is low; the economically important relationships are the family holding, Diageo's stake in Moët Hennessy and the landlords of prime retail sites.

A4. Competition

COMPETITIVE COMPARISON, TTM, LOCAL CURRENCY

Company	Revenue	Op. margin	EV/EBITDA	Net debt	ROIC
LVMH (EUR)	79.6bn	21.8%	9.3x	24.9bn	12.4%
Hermès (EUR)	16.1bn	41.8%	17.0x	Net cash 10.0bn	50.1%
Richemont (CHF)	20.7bn	20.7%	17.1x	Net cash 3.4bn	18.1%
Kering (EUR)	14.5bn	11.3%	10.1x	9.4bn	Negative

Source: StockAnalysis (S&P Global Market Intelligence) key statistics, LVMH as of 12 October 2026, Hermès 13 October 2026, Kering 9 October 2026, Richemont 29 September 2026. Net debt includes lease liabilities. Figures are not currency adjusted and ROIC is as provided by the data source, not the analyst's own calculation.

Hermès is the closest competitor in leather goods and sets the benchmark: €16.1bn of revenue, a 41.8% operating margin and net cash of €10.0bn, but with a single product concept and almost no wholesale, and a valuation of 17 times EBITDA. Kering (Gucci, Saint Laurent, Bottega Veneta) competes for the same fashion customer and is selected because it shows the downside of reliance on one brand: its margin is 11.3% and its ROIC is negative. Richemont (Cartier, Van Cleef & Arpels) competes directly with Tiffany and Bulgari in jewelry, a category that is outgrowing leather goods; its 17.1 times EBITDA multiple shows what the market pays for hard luxury. In beauty, L'Oréal and Estée Lauder compete with Dior and Guerlain, in spirits Diageo and Pernod Ricard compete with Hennessy and Moët, and in retail Ulta Beauty, Douglas and Amazon compete with Sephora. Indirect competitors are experiences (hospitality, travel), secondary resale platforms and accessible fashion groups. Geographic competitors include local jewelry retailers such as Chow Tai Fook in China.

A5. Competitive Differences

LVMH's advantages are scale and breadth. With €80.8bn of revenue it is five times the size of Hermès and about four times Richemont, which allows €4.6bn of annual capex, prime real estate bids, the world's largest luxury advertising budget and a diversified profit base outside leather goods of about 26% of group profit. Brand portfolio is a structural advantage: Louis Vuitton, Dior and Tiffany carry heritage that cannot be copied; vertical integration (117 production sites in France, owned tanneries and ateliers) protects quality; Sephora gives data and a distribution channel to compete for the beauty customer; and the controlling family provides a long time horizon. Temporary advantages include pricing power built during 2021 to 2023, which has not repeated, and favourable China positions that have now reversed. Disadvantages are concentration and fixed cost. Fashion and Leather Goods delivers 74% of profit, so a 5% revenue decline at a 35% margin removes about €0.7bn of operating profit before cost action, and operating leverage works both ways: group profit from recurring operations fell 9% in FY2025 on a 1% organic revenue decline. The group has heavy retail occupancy and staff costs, an inventory of about 303 days, a Wines and Spirits business that is cyclical, and a Perfumes and Cosmetics margin of 8.9% that is structurally below the rest of the group.

MOAT ASSESSMENT: STRONG

> LVMH has maintained a gross margin of 66% to 69% and an operating margin of 22% to 27% over five years, with ROIC of 14% to 19%, well above any plausible cost of capital of 8%. The moat is strong rather than very strong because the profit is concentrated in two houses, customer loyalty is weakening across the industry (customer base down from 400 million to 340 million), and the operating margin has fallen 4.5 points since 2023.

A6. Industry Trend

The industry grew strongly in 2021 to 2023 (LVMH revenue rose 23.3% in 2022 and 8.8% in 2023) and then stalled: the personal luxury market was €369bn in 2023, €364bn in 2024 and about €358bn in 2025 (Bain and Altagamma). LVMH's own revenue fell 1.7% in 2024 and 4.6% in 2025 on a reported basis. In 2026 organic growth recovered to 2% for nine months, led by Watches and Jewelry (plus 8%) and Selective Retailing (plus 6%) while Fashion and Leather Goods declined 2% organically (minus 5% in Q3). Structural trends are jewelry gaining share, wealthy customers concentrating spend (the top spenders are now 46% to 47% of sales), emerging markets reaching about €45bn, similar to mainland China, and a push toward experiences and quiet luxury. Temporary conditions are Chinese consumer confidence, exchange rates (a 3% drag on FY2025 and 3% on 9M 2026) and the pace of inventory destocking. The trend would reverse if a Chinese demand recovery lifted high end spending, or if further price increases raise the price of entry beyond the aspirational customer.

A7. Management

EXECUTIVE TEAM AND BOARD

Name	Position	Background
Bernard Arnault, 77	Chairman and Chief Executive Officer	Founder-controller of the group; on the board since 1988; the family holds 50.01% of capital
Cécile Cabanis, 54	Chief Financial Officer (since January 2025)	Group finance, capital allocation and reporting; prior employer not retrieved
Jérôme Sibille, 46	Chief Administrative Officer and General Counsel (since 2020)	Legal and governance
Maud Alvarez-Pereyre, 45	Human Resources Officer (since November 2024)	People and organisation
Delphine Arnault, 51	Director; member of the Executive Committee	Leads Christian Dior Couture; family succession candidate
Antoine, Alexandre and Frédéric Arnault	Directors	Next generation of the controlling family on the board

Source: MarketScreener governance page for LVMH, accessed 14 October 2026; LVMH investor pages. Ages and dates are as shown on the source.

Management behaviour is aligned with long term control rather than short term earnings: the family has raised its stake through the share price weakness and is simplifying the holding structure. Capital allocation has been disciplined in cash terms: net financial debt fell from €9.2bn to €6.9bn in FY2025, capex fell from €7.5bn in 2023 to €4.6bn, dividends were €6.5bn (59% of FY2025 earnings per share of €21.85 paid out at €13.00 per share) and buybacks were €1.6bn in FY2025 against €0.3bn in FY2024. The 2021 Tiffany acquisition lifted goodwill to €25.9bn; goodwill has since been reduced to €18.3bn through impairments, disposals and currency movements, so part of the acquisition value has been written down. LVMH gives no numerical guidance, so guidance accuracy cannot be tested; management states each period that it remains confident and focuses on brand desirability and agility. Executive concentration in one controlling family is a governance risk, partly offset by an independent board audit and compensation committee structure.

B. Evaluation

B1. Financial and Operating Metrics

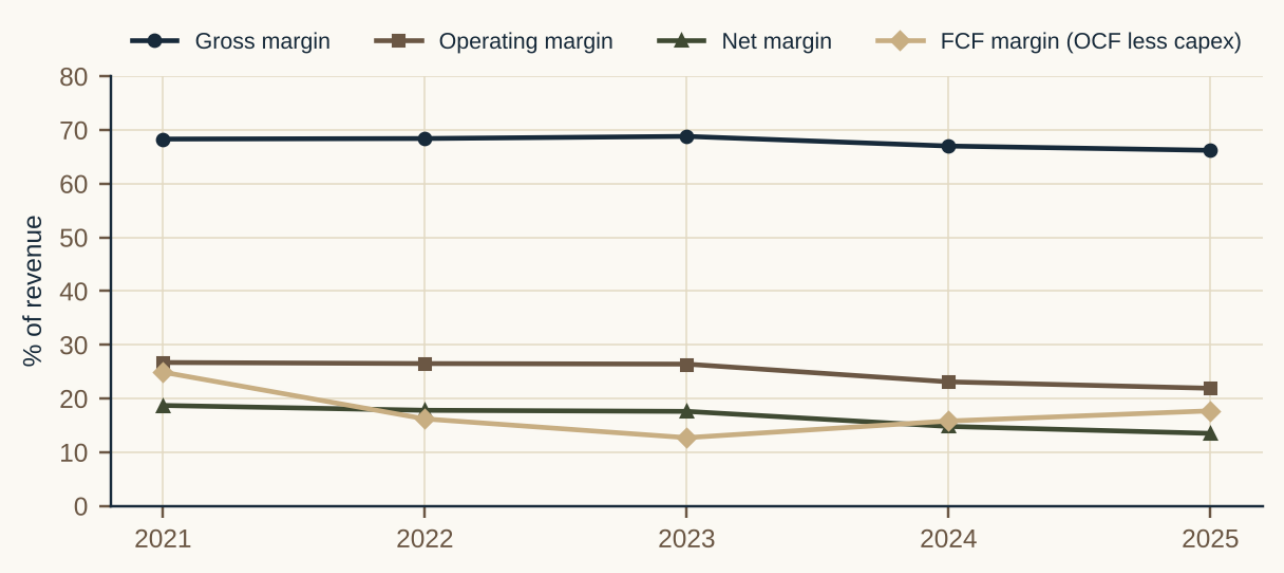
PROFITABILITY, GROWTH AND RETURNS, FY2021 TO FY2025

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue, EUR m	64,215	79,184	86,153	84,683	80,807
Revenue growth	43.8%	23.3%	8.8%	-1.7%	-4.6%
Gross margin	68.3%	68.4%	68.8%	67.0%	66.2%
Operating margin	26.7%	26.5%	26.4%	23.1%	21.9%
EBITDA margin	34.1%	33.1%	32.9%	30.2%	29.4%
Net margin	18.7%	17.8%	17.6%	14.8%	13.5%
Diluted EPS, EUR	23.89	28.03	30.33	25.12	21.85
ROE (net income / year end common equity)	25.5%	25.6%	24.9%	18.6%	16.1%
ROIC (NOPAT at 27% tax / year end invested capital)	17.1%	18.9%	18.4%	14.7%	14.0%

Source: S&P Global Market Intelligence via StockAnalysis (reported statements, IFRS); LVMH results releases. Operating margin uses S&P operating income, which differs slightly from LVMH profit from recurring operations (FY2025: €17,668m against €17,755m). ROE, ROIC and EBITDA (operating income plus depreciation and amortization) are calculated. Invested capital is equity plus total debt including leases less cash and short-term investments.

Growth over FY2021 to FY2025 (four annual periods): revenue CAGR 5.9%, EBITDA CAGR 2.1%, net income CAGR minus 2.5%, EPS CAGR minus 2.2% and free cash flow CAGR minus 2.7%. The pattern is the classic one of price driven growth without lasting operating leverage: revenue expanded 26% but net income fell 10% since 2021, because margin was given back from 2024. ROE and ROIC are different measures: ROE of 16.1% measures the return on common equity only, while ROIC also counts €36.8bn of debt and leases, so the ROIC of 14.0% is the better measure of operating quality. The data source quotes TTM ROIC of 12.4% and ROE of 16.6%.

Margin structure, FY2021 to FY2025



Source: S&P Global Market Intelligence via StockAnalysis; analyst calculations. Units: percent of revenue. FCF margin is operating cash flow less capital expenditure divided by revenue.

EFFICIENCY, LEVERAGE AND CASH FLOW METRICS, FY2021 TO FY2025

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Inventory days (on cost of goods)	297	297	312	309	303
Receivable days (on revenue)	22	20	20	20	20
Asset turnover (revenue / year end assets), x	0.51	0.59	0.60	0.57	0.57
Net debt incl. leases, EUR m	24,273	24,762	27,710	27,694	23,259
Net debt / EBITDA, x	1.11	0.94	0.98	1.08	0.98
Operating cash flow / net income, x	1.55	1.27	1.21	1.51	1.73
Capex / revenue	4.1%	6.3%	8.7%	6.5%	5.7%
Free cash flow (OCF less capex), EUR m	15,984	12,864	10,922	13,393	14,307
Free cash flow after lease payments, EUR m	13,531	10,113	8,104	10,478	11,333

Source: S&P Global Market Intelligence via StockAnalysis; LVMH results release for FY2024 and FY2025 operating free cash flow (€10,478m and €11,333m, which equal operating cash flow less capex less lease payments). Other values are calculated. Interest coverage: FY2025 operating income of €17,668m against cash interest paid of €545m is 32 times.

Inventory days of about 300 reflect that leather goods, watches and aged spirits are held for years, which makes inventory a capital sink; the 2022 to 2023 build of €8.4bn in inventory cut free cash flow to €10.9bn in 2023. Cash conversion has recovered strongly: FY2025 operating cash flow of €18.9bn was 1.7 times net income because depreciation and amortization of €6.1bn is much larger than net capex. Leverage is moderate at 1.0 times EBITDA including leases and 0.4 times on LVMH’s own net financial debt measure.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Fashion and Leather concentration	High	High	74% of profit from recurring operations comes from one group; Q3 2026 organic revenue was minus 5%; 5% revenue decline at a 35% margin removes about €0.7bn of profit
2	Chinese and Asian demand	High	High	China fell 3% to 5% in 2025 (Bain); Asia excluding Japan is 26% of revenue; management cites a less buoyant China in Q3 2026
3	Loss of aspirational customer	Medium	High	Customer base down from about 400 million to 340 million; price increases above wage growth erode entry level demand
4	Valuation or multiple compression	Medium	Medium	Trailing P/E has moved from 30.4 to 17.5 times since 2021; further de-rating possible if margin keeps falling
5	Currency	High	Medium	Exchange rates cut revenue 3% in FY2025 and 3% in 9M 2026; US dollar and yuan exposure
6	Tariffs and trade policy	Medium	Medium	US is 26% of revenue; tariffs on European goods would pressure margins or prices
7	Governance and key person	Medium	Medium	Chairman is 77; control concentrated in one family; holding restructuring and tender offer in Q1 2027
8	Leverage and refinancing	Low	Medium	Net financial debt €8.2bn; short term debt of €7.9bn covered by €13.5bn cash
9	Technology and counterfeits	Low	Medium	Online resale and counterfeits; AI driven marketing and retail change
10	Regulation and antitrust	Low	Low	Luxury is lightly regulated; sustainability and supply chain disclosure rules add cost

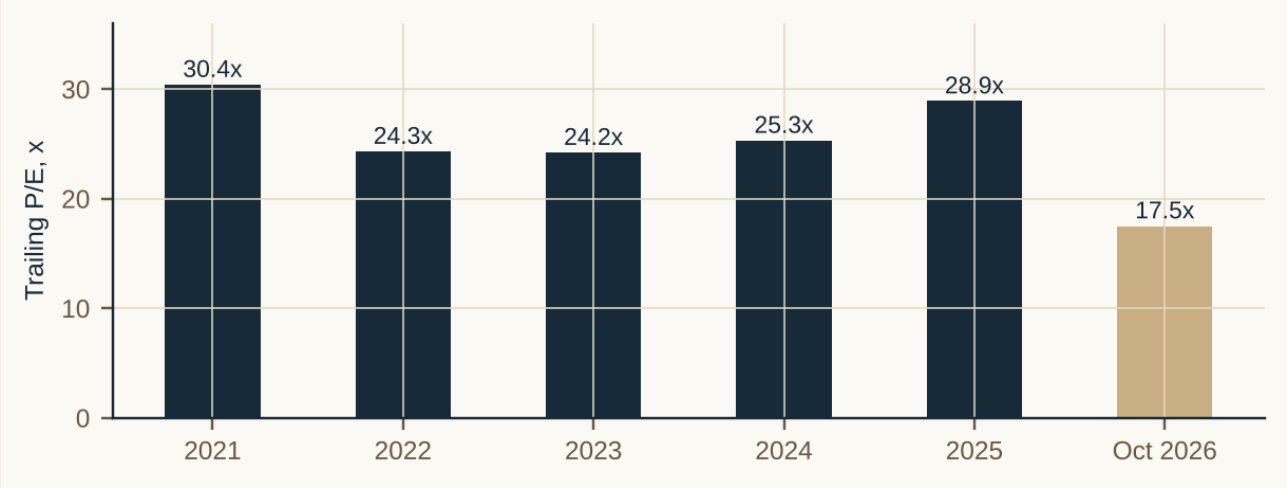
Source: analyst assessment based on LVMH reports and Bain and Altagamma data. Probability and impact are qualitative judgements.

The three risks most capable of permanently impairing shareholder value are the dependence on Louis Vuitton and Dior inside the Fashion and Leather Goods group, a structural rather than cyclical loss of Chinese and aspirational demand, and a weakening of brand pricing power if repeated price increases have exhausted customer loyalty.

B3. Valuation

At €384.05 and 493.1 million shares the market capitalization is €189.4bn. Enterprise value is €215.8bn (market capitalization plus net debt including leases of €24.9bn at June 2026 plus minority interests of €1.5bn at December 2025). Multiples are on trailing twelve months to June 2026 unless stated: P/E 17.5 times (EPS €21.94), forward P/E 16.5 times (consensus), EV/EBITDA 9.3 times, EV/EBIT 12.4 times, EV/revenue 2.7 times, price to sales 2.4 times, P/FCF 13.2 times on free cash flow before lease payments or 16.7 times on FY2025 free cash flow after leases, and a dividend yield of 3.4%.

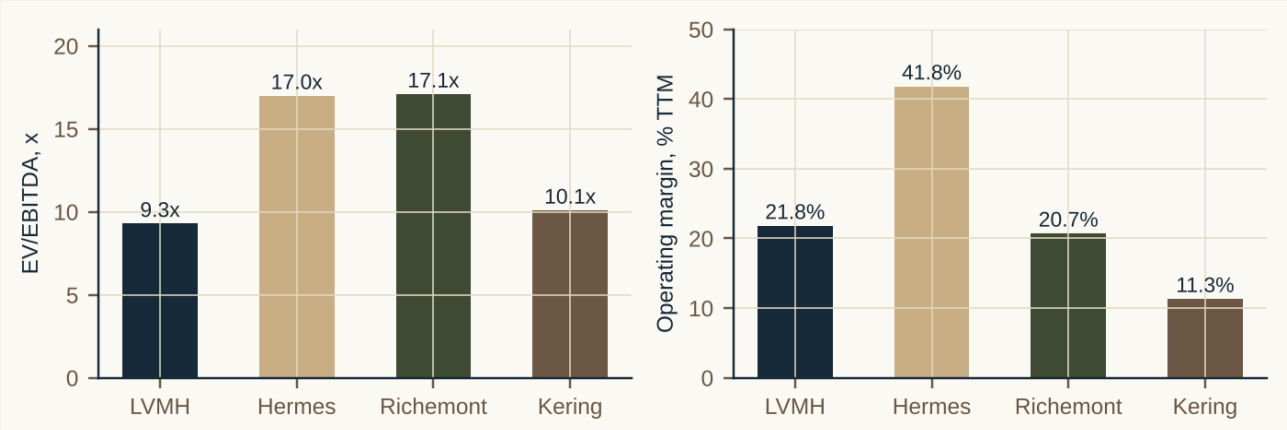
Trailing P/E at year end, versus current



Source: calculated from Euronext Paris closing prices (Alpha Vantage) and S&P Global reported diluted EPS. Units: price divided by trailing diluted EPS. Current uses TTM EPS of €21.94 to June 2026.

The current multiple is the lowest of the period: year end P/E was 30.4 times in 2021, 24.3 in 2022, 24.2 in 2023, 25.3 in 2024 and 28.9 in 2025, when earnings had fallen further than the price. Today the price has fallen and earnings have stabilised on a TTM basis. Against peers the discount is large: Hermès trades at 17.0 times EV/EBITDA and 30.5 times earnings, Richemont at 17.1 times and 31.7 times, while Kering trades at 10.1 times EBITDA with negative trailing earnings. LVMH's lower multiple is partly justified by its lower margin than Hermès (21.8% against 41.8%) and its larger exposure to Selective Retailing and Wines and Spirits, but it is also lower than Richemont despite a similar margin and a larger cash flow base.

Peer valuation and profitability



Source: StockAnalysis (S&P Global Market Intelligence), October 2026. Units: EV/EBITDA in times, operating margin in percent, trailing twelve months.

The cash flow valuation is in section C5. At a WACC of 8.0% and terminal growth of 2.5% the base case DCF gives about €433 per share, the bear case €344 and the bull case €511. The market price of €384.05 therefore sits between the bear and the base case. What is embedded in the price: a reverse DCF shows it equals the base case if the operating margin averaged about 2 percentage points lower (about 19.6% to 20.5%), or if the discount rate were 8.7% rather than 8.0%. Those expectations look conservative on revenue (base case CAGR of 3.5% against 5.9% in 2021 to 2025) and reasonable on margin, because the base case assumes a recovery to 22.5% that has not yet appeared in the Q3 2026 data. Consensus analysts' target of €517.69 (27 analysts, a buy consensus) is a market expectation reported by the data provider and is not an analyst forecast of this report.

B4. Capital Market and Stock Analysis

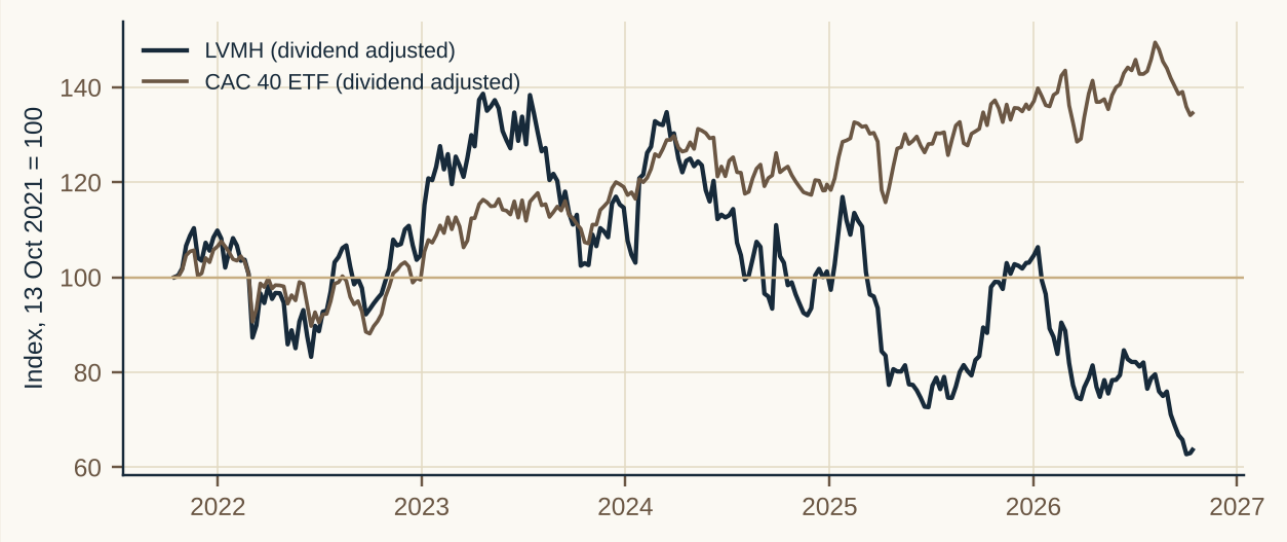
The shares closed at €384.05 on 13 October 2026, 0.1% below the previous close. Price returns are shown below; periods of six months or longer use dividend-adjusted prices.

PRICE RETURNS, TO 13 OCTOBER 2026

Period	LVMH	CAC 40 ETF
1 day	-0.1%	N/A
1 week	-0.4%	N/A
1 month	-8.0%	N/A
3 months	-23.7%	N/A
6 months	-19.2%	N/A
Year to date	-38.3%	-0.6%
1 year	-27.9%	1.9%
3 years	-37.9%	N/A
5 years	-32.6%	38.0%
10 years	195.3%	N/A

Source: Alpha Vantage, Euronext Paris daily and weekly series; calculated. One day to three months use daily closing prices; six months and longer use dividend-adjusted weekly closes. The benchmark is the Amundi CAC 40 UCITS ETF listed in Paris, dividend adjusted.

LVMH against the CAC 40, rebased



Source: Alpha Vantage, Euronext Paris weekly dividend-adjusted closes, 13 October 2021 to 13 October 2026. Units: index, 13 October 2021 equals 100. Benchmark is the Amundi CAC 40 UCITS ETF.

The shares have lost 32.6% over five years against a gain of 38.0% for the CAC 40 ETF, and 27.9% in the last year against a gain of 1.9%. This is a company specific and sector de-rating rather than a market decline. Over ten years the shares are still up 195%. Hermès is down 36.9% and Kering 32.9% over 52 weeks, while Richemont is up 18.5%, so the sector fell with hard luxury as the exception.

VOLATILITY AND RISK

Measure	Value	Basis
Annualized volatility, 1 year	25.9%	Weekly log returns
Annualized volatility, 3 years	30.1%	Weekly log returns
Annualized volatility, 3 months	25.7%	Daily log returns
Downside volatility, 3 months	20.4%	Daily, annualized
Beta versus CAC 40 ETF, 3 years	1.46	Weekly returns, calculated
Beta versus CAC 40 ETF, 5 years	1.40	Weekly returns, calculated
Beta, 5 years, data provider	0.88	StockAnalysis
Correlation with CAC 40 ETF, 5 years	0.75	Weekly returns
Maximum drawdown, dividend adjusted	-54.7%	Weekly closes, April 2023 peak to 2 October 2026
Maximum drawdown, price only	-58.0%	Closing price EUR 901.10 to EUR 378.55
52 week range	EUR 375.65 to 654.70	Intraday low and weekly high

Source: Alpha Vantage price data; StockAnalysis; calculated. The calculated beta uses weekly returns against a CAC 40 ETF and the provider beta uses its own benchmark and interval, which explains the gap.

LVMH drawdown from prior peak



Source: Alpha Vantage, Euronext Paris weekly dividend-adjusted closes, October 2021 to October 2026. Units: percent decline from the highest prior close.

The stock is in a sustained downtrend that started after the April 2023 peak and accelerated in 2026. The price (€384.05) is below the 50 day average (€425.3) and the 200 day average (€486.6), so both averages are declining and above the price. The 14 day RSI is 36.0, close to oversold territory, and the 12 and 26 day MACD is negative at minus 12.3 against a signal of minus 13.7, so momentum is weak although the histogram has stopped falling. The 14 day average true range is €7.7 or 2.0% of the price. Twenty day average volume of 622,000 shares is 12% above the 60 day average, a sign of persistent selling. Support is at the €375 to €380 area, where the price has stopped twice in October (lows of €375.65 on 13 October and €376.00 on 2 October); resistance is at about €400 and at the 50 day average. Technical structure is a statement about momentum and positioning and does not alter fundamental value: a price at a 52 week low with a negative trend can coexist with a valuation that is undemanding, and it can also mean that the fundamentals have not yet stabilised.

C. Financial Statements

C1. Income Statement

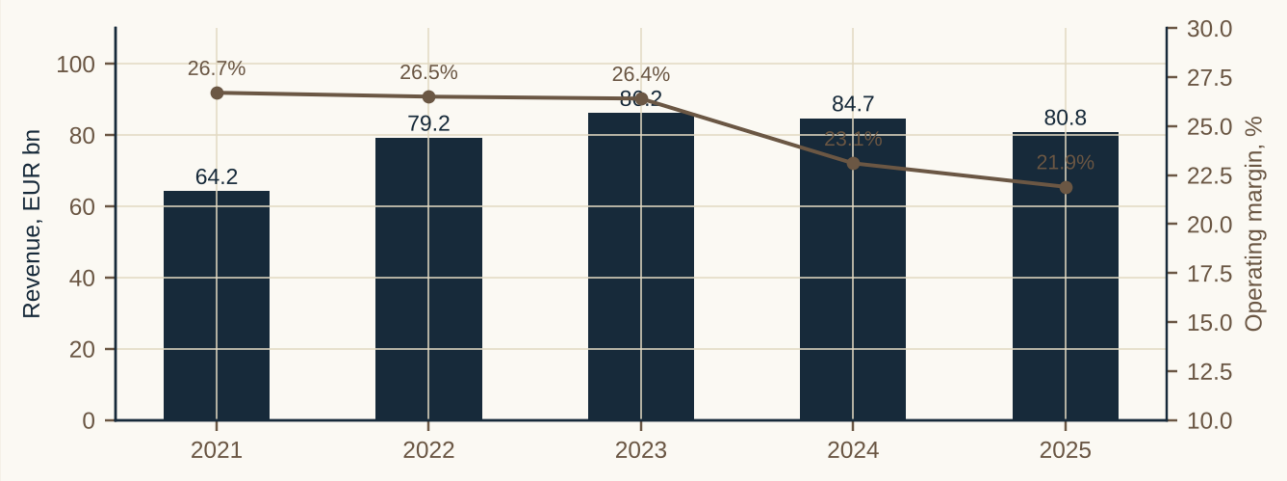
INCOME STATEMENT SUMMARY, EUR M, IFRS

Item	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue	64,215	79,184	86,153	84,683	80,807
Gross profit	43,860	54,196	59,277	56,765	53,528
Operating income	17,138	21,014	22,781	19,578	17,668
Depreciation and amortization	4,742	5,234	5,521	6,038	6,088
EBITDA (calculated)	21,880	26,248	28,302	25,616	23,756
Net income, group share	12,036	14,084	15,174	12,550	10,878
Diluted EPS, EUR	23.89	28.03	30.33	25.12	21.85
Shares outstanding, millions	503.5	501.1	499.5	499.4	496.4

Source: S&P Global Market Intelligence via StockAnalysis, LVMH results releases. Reported, except EBITDA which is calculated. Marketing and selling, general and administrative, R&D and interest lines are not retrieved. TTM to June 2026: revenue €79,641m, gross profit €52,854m, operating income €17,380m, net income €10,877m, EPS €21.94.

Revenue grew 43.8% in 2021 (including the Tiffany consolidation from January 2021), 23.3% in 2022 and 8.8% in 2023, then fell. The FY2025 decline of 4.6% reported combined an organic decline of 1%, a currency effect of minus 3% and a scope effect of about minus 1%. By group, Fashion and Leather Goods fell 5% organically, Wines and Spirits 5%, Perfumes was flat, Watches and Jewelry rose 3% and Selective Retailing rose 4%. Revenue growth in 2021 to 2023 came from price and mix, volume recovery and acquisitions; the volume contribution is not disclosed by LVMH. Operating leverage has been strongly negative. From 2023 to 2025 revenue fell 6.2% but operating income fell 22.4%, so every 1% of revenue lost cost about 3.6% of operating income because rent, staff and brand spending are fixed. The gross margin has slipped 2.6 points (from 68.8% to 66.2%), which is consistent with price discounting, mix toward lower margin categories and cost inflation in leather goods. Within the group, Fashion and Leather Goods profit from recurring operations fell from €15.2bn in FY2024 to €13.2bn in FY2025 (minus 13%) and Wines and Spirits fell 25%, while Selective Retailing rose 28% and Perfumes rose 8%. In H1 2026 revenue was €38.6bn (minus 3% reported, plus 2% organic), profit from recurring operations €8.7bn (minus 4%, margin 22.5%) and net profit €5.7bn, flat. Fashion and Leather Goods profit fell 7% to €6.2bn but Watches and Jewelry rose 9% and Wines and Spirits 11%. Nine month 2026 revenue was €57.1bn (minus 2% reported, plus 2% organic) with Q3 organic growth of only 1%, so margin recovery has not yet begun. Margins are contracting; the reason is operating deleverage on a fixed cost base combined with a weak top line in the group's highest margin segment.

Revenue and operating margin, FY2021 to FY2025



Source: S&P Global Market Intelligence via StockAnalysis; LVMH. Units: EUR bn (bars) and operating margin in percent (line). Operating income is on the S&P Global basis.

C2. Balance Sheet

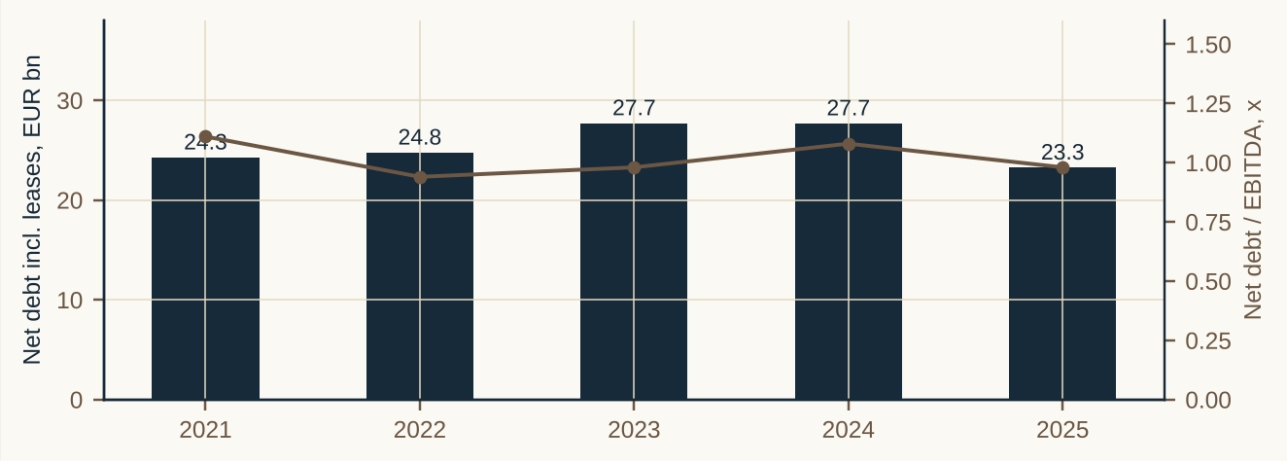
BALANCE SHEET SUMMARY AT 31 DECEMBER, EUR M

Item	2021	2022	2023	2024	2025
Cash and short-term investments	10,595	10,884	11,287	13,610	13,520
Inventories	16,549	20,319	22,952	23,669	22,659
Property, plant and equipment (incl. leased assets)	33,898	37,670	43,010	46,506	44,588
Goodwill	25,904	24,782	24,022	20,307	18,315
Other intangible assets	24,551	25,432	25,589	26,280	23,129
Total assets	125,311	134,646	143,694	149,190	142,037
Total debt incl. leases	34,868	35,646	38,997	41,304	36,779
Total liabilities	76,402	78,042	80,993	79,903	73,088
Shareholders' equity incl. minorities	48,909	56,604	62,701	69,287	68,949
Net debt incl. leases	24,273	24,762	27,710	27,694	23,259

Source: S&P Global Market Intelligence via StockAnalysis (reported). Net debt is calculated as total debt including lease liabilities less cash and short-term investments. LVMH's own net financial debt excludes leases: €9,228m at December 2024, €6,857m at December 2025 and €8,245m at June 2026.

At December 2025 the balance sheet is conservative. Equity is €68.9bn (48.5% of total assets), total debt including €16.4bn of leases is €36.8bn, and cash and short-term investments are €13.5bn. Net debt including leases is €23.3bn, 0.98 times EBITDA; LVMH's own net financial debt measure is €6.9bn, 0.3 times EBITDA. Current assets of €48.2bn cover current liabilities of €30.4bn 1.58 times (quick ratio 0.82 times), and working capital is €17.8bn. Short-term debt and the current portion of long-term debt (€7.9bn in total) are covered 1.7 times by cash. Receivables are stable at about 20 days; inventory has grown from €16.5bn to €22.7bn since 2021, up 37% against revenue growth of 26%, and is the main working capital risk. Goodwill of €18.3bn is 13% of total assets and 27% of equity, down from €25.9bn in 2021; intangible assets (brands) are €23.1bn. The red flags to watch are the inventory build, goodwill impairment risk if a brand or the US jewelry business underperforms, and off-balance sheet commitments such as purchase obligations for minority interests (Moët Hennessy), reflected in other long term liabilities of €9.2bn on the S&P Global basis.

Net debt including leases and leverage



Source: S&P Global Market Intelligence via StockAnalysis; calculated. Units: EUR bn and net debt divided by EBITDA (times).

C3. Cash Flow Statement

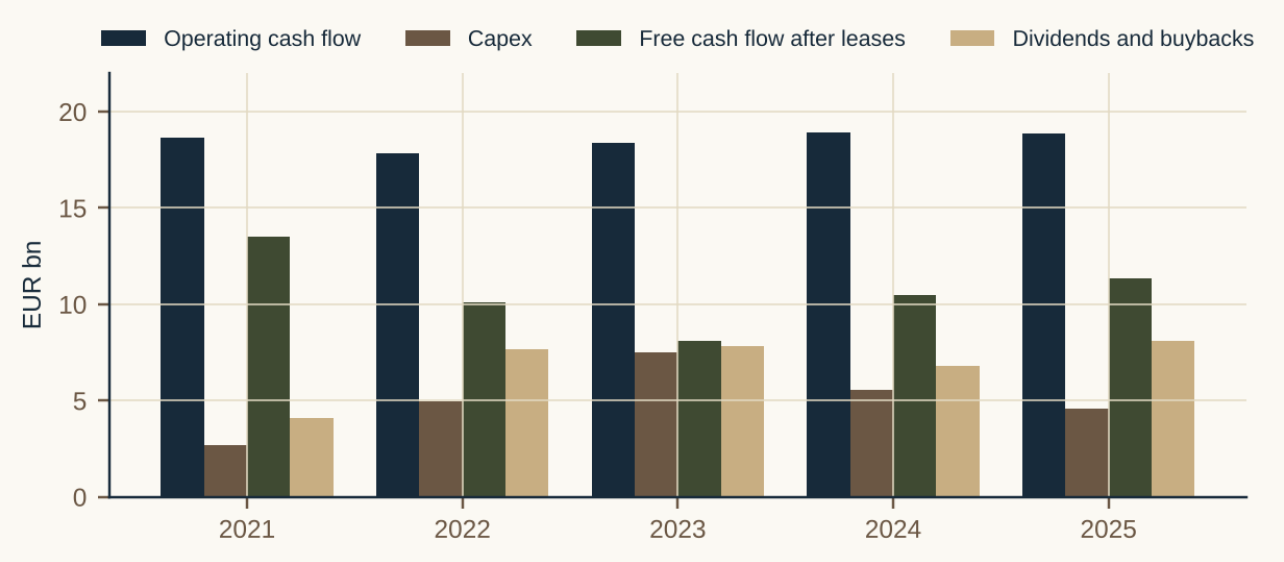
CASH FLOW SUMMARY, EUR M

Item	FY2021	FY2022	FY2023	FY2024	FY2025
Operating cash flow	18,648	17,833	18,400	18,924	18,874
Capital expenditure	-2,664	-4,969	-7,478	-5,531	-4,567
Free cash flow (OCF less capex)	15,984	12,864	10,922	13,393	14,307
Lease payments	-2,453	-2,751	-2,818	-2,915	-2,974
Free cash flow after leases	13,531	10,113	8,104	10,478	11,333
Cash acquisitions	-13,226	-809	-721	-438	0
Dividends paid	-3,527	-6,024	-6,251	-6,492	-6,465
Share repurchases	-556	-1,616	-1,584	-312	-1,640
Net debt issued (repaid), excl. leases	-8,615	-2,868	-796	-2,996	-5,107

Source: S&P Global Market Intelligence via StockAnalysis, last updated 27 July 2026. Reported lines except free cash flow, which is calculated. Free cash flow after leases agrees to LVMH's reported operating free cash flow for FY2024 and FY2025.

Earnings are well supported by cash: FY2025 free cash flow of €14.3bn was 1.3 times net income and operating cash flow of €18.9bn was 1.7 times net income. Net income does not equal cash generation here for three reasons: depreciation and amortization of €6.1bn (including right of use assets), an inventory build that absorbed €1.3bn in FY2025 and €4.2bn in both 2022 and 2023, and cash taxes of €4.9bn. Free cash flow fell from €16.0bn to €10.9bn between 2021 and 2023 because inventory and capex (a rise from 4.1% to 8.7% of revenue) absorbed cash, and then recovered as capex was cut. Free cash flow margin was 17.7% in FY2025 against 24.9% in 2021, and free cash flow growth was 6.8% in FY2025. Shareholder returns in FY2025 (€8.1bn including €1.6bn of buybacks) were below free cash flow of €11.3bn after leases, debt repayments net of issuance were €5.1bn, and net financial debt fell by €2.4bn to €6.9bn.

Cash generation and uses, FY2021 to FY2025



Source: S&P Global Market Intelligence via StockAnalysis; analyst calculations. Units: EUR bn. Free cash flow after leases equals operating cash flow less capex less lease payments.

C4. Forecasting and Projections

The forecast starts from nine month 2026 revenue of €57.1bn and assumes fourth quarter revenue of about €22.6bn (fourth quarter 2025 was €22.7bn by difference), giving FY2026 revenue of about €79.7bn, or minus 1.4% reported. Revenue is modelled at group level because volume, price and mix are not disclosed. Fashion and Leather Goods growth is the main swing factor: in the base case organic growth returns to 4.5% to 5% in 2027 to 2029 as comparisons ease, Watches and Jewelry and Selective Retailing continue to outgrow, and exchange rates are neutral. Market share is not directly measurable; the base case assumes LVMH grows roughly in line with the personal luxury market at Bain's long term range of 4% to 6%. Gross margin fell from 68.8% in 2023 to 66.2% in 2025 and the base case assumes it stabilises. Operating margin (profit from recurring operations) is projected at 21.6% in 2026, equal to FY2025's 22% less continued weakness in Fashion and Leather Goods, rising to 22.5% by 2029 as revenue growth restores operating leverage. SG&A efficiency is not modelled separately because the lines are not retrieved. Capex is held at 5.7% of revenue (maintenance and renovation of stores, ateliers and distilleries are most of this, with growth capex the remainder), depreciation at 7.5%, lease payments at 3.7% of revenue, and net working capital investment at 12% of incremental revenue to reflect the inventory intensity of the model.

SCENARIO PROJECTIONS, EUR BN

Scenario and item	2026E	2027E	2028E	2029E	2030E
Base: revenue	79.7	83.3	87.5	91.8	96.0
Base: profit from recurring operations	17.2	18.2	19.4	20.7	21.6
Base: operating margin	21.6%	21.9%	22.2%	22.5%	22.5%
Base: unlevered free cash flow after leases	11.2	11.3	12.0	12.8	13.4
Bull: revenue	79.7	85.3	91.7	98.1	104.0
Bull: operating margin	21.8%	22.8%	23.6%	24.2%	24.5%
Bull: unlevered free cash flow after leases	11.3	11.9	13.3	14.7	15.9
Bear: revenue	79.7	80.5	82.1	84.2	86.3
Bear: operating margin	20.8%	20.0%	19.8%	20.0%	20.0%
Bear: unlevered free cash flow after leases	10.7	10.1	10.1	10.4	10.7

Source: analyst estimates and assumptions, built from LVMH reported results to September 2026. These are scenario assumptions, not forecasts of the share price. Revenue CAGR 2025 to 2030: base 3.5%, bull 5.2%, bear 1.3%.

In the bull case Fashion and Leather Goods growth recovers to 7% and the margin returns to 24.5%, the level of 2023 less about 2 points; in the bear case a second year of decline in Fashion and Leather Goods keeps the margin near 20%. Sensitivity of the DCF value per share to margin and revenue growth, at 8.0% WACC and 2.5% terminal growth, is shown below.

SENSITIVITY: OPERATING MARGIN SHIFT (ROWS) AGAINST ANNUAL REVENUE GROWTH SHIFT (COLUMNS), VALUE PER SHARE IN EUR

Margin shift	Growth -2 pts	Growth -1 pt	Base	Growth +1 pt	Growth +2 pts
-2.0 points	363	373	384	395	406
-1.0 point	386	397	409	420	432
Base path	409	421	433	446	459
+1.0 point	432	445	458	471	485
+2.0 points	455	468	482	497	511

Source: analyst DCF model. Growth shifts apply to every forecast year from 2027; margin shifts apply to every forecast year.

Margin matters more than growth: a one point change in operating margin moves value by about €24 per share (5.5%), while a one point change in annual growth moves it by about €12 (2.8%). The current price corresponds to the base case with margins two points lower, which is the key reference point for monitoring.

C5. Discounted Cash Flow (DCF) Model

The DCF values the business over five years (2026E to 2030E) plus a terminal value. Revenue starts at €79.7bn in 2026E and grows 4.5% to 5.0% a year in the base case; operating margin (profit from recurring operations) moves from 21.6% to 22.5%. Tax is taken at 27% of operating profit (an assumption close to the French statutory rate plus group mix; not reported). Depreciation is 7.5% of revenue, capex 5.7%, lease payments 3.7% and net working capital investment 12% of incremental revenue. The WACC of 8.0% is built from a euro risk-free rate of 3.5% and an equity risk premium of 5.0% (both assumptions), a beta of 1.05 (between the 0.88 reported by the data provider and the 1.40 calculated against a CAC 40 ETF), a cost of equity of 8.75%, a low after tax cost of debt and a debt weight of about 16%, rounded up to 8.0% for conservatism. Terminal growth is 2.5%. Terminal value is 78% of enterprise value in the base case, which signals the sensitivity of any luxury valuation to margin durability. The base case enterprise value is €232.5bn. Equity value is derived by deducting net financial debt of €8.2bn (June 2026), minority interests of €1.5bn (December 2025) and a conservative allowance of €9.2bn for purchase commitments for minority interests (taken as the other long term liabilities line on the S&P Global basis, which is an upper bound), a total of €18.9bn. Shares outstanding are 493.1 million. Net financial debt is used rather than debt including leases because lease payments are already deducted from free cash flow.

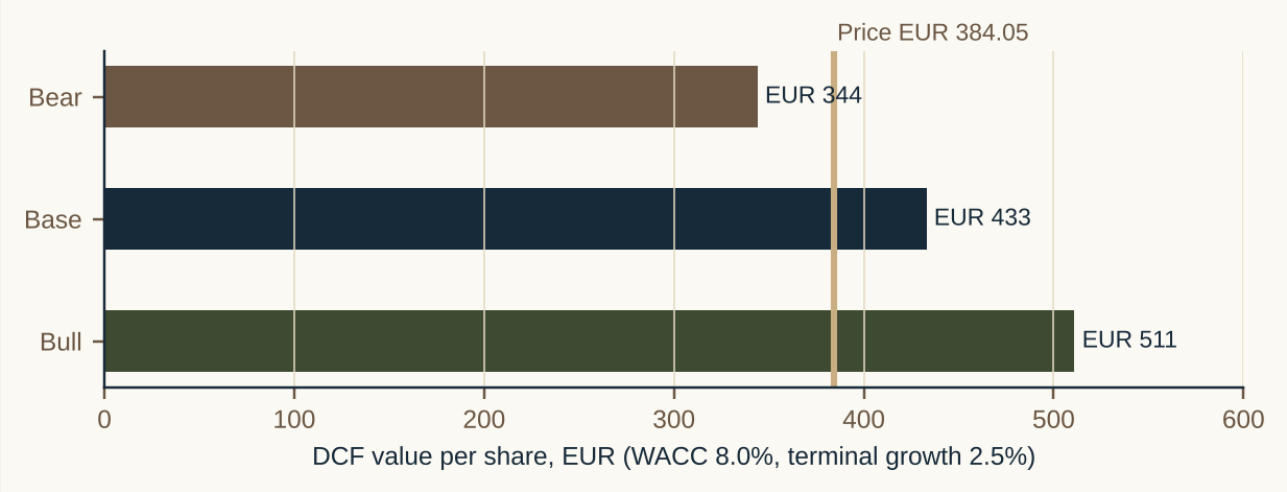
SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), BASE CASE VALUE PER SHARE IN EUR

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
7.0%	446	486	535	596	674
7.5%	407	440	479	527	587
8.0%	374	401	433	472	519
8.5%	345	368	395	427	465
9.0%	320	340	363	389	421

Source: analyst DCF model. Cash flows are discounted from the middle of each year with valuation at October 2026; the 2026 cash flow is treated as a full year, which slightly overstates value. The range is a statement of assumptions and not a precise intrinsic value.

A reasonable valuation range, using WACC of 7.5% to 8.5% and terminal growth of 2.0% to 3.0% in the base case, is about €368 to €527 per share, against the market price of €384.05. The scenario values at 8.0% WACC and 2.5% terminal growth are €344 (bear), €433 (base) and €511 (bull).

DCF value per share by scenario against market price



Source: analyst DCF model; Euronext Paris close of 13 October 2026. Units: EUR per share. WACC 8.0%, terminal growth 2.5%. Net claims of EUR 18.9bn deducted; 493.1 million shares.

C6. Leveraged Buyout (LBO) Model

Not applicable. With a market capitalization of €189bn, a controlling family holding 50.0% of the capital and 65.9% of votes, and a business whose value rests on brand independence, a leveraged buyout is neither financeable nor realistic, and an LBO analysis would not inform the investment case.

D. Investment Thesis

Bull Case

Under the bull case Fashion and Leather Goods returns to 7% annual growth as Louis Vuitton and Dior regain momentum with new creative leadership and Chinese demand recovers; Watches and Jewelry continues to grow at 6% to 8%; operating margin rises to 24.5% by 2030 on operating leverage; capex stays near 5.7% of revenue; and the multiple recovers toward 20 times earnings. Revenue reaches about €104bn by 2030 (a 5.2% CAGR) and profit from recurring operations about €25.5bn. The DCF value is about €511 per share, 33% above the market price.

Bear Case

Under the bear case Fashion and Leather Goods declines again in 2027, Chinese and aspirational customers do not return, competition from Hermès, Richemont and the new owner-led houses intensifies, and operating margin falls to about 20% as fixed costs are not absorbed. Revenue grows 1.3% a year to €86bn by 2030 and profit from recurring operations stays near €17bn. The DCF value is about €344, 10% below the market price, and a de-rating toward the lowest historic multiple of 13 to 15 times earnings would add to the downside.

Base Case

The base case assumes revenue growth of 4.5% to 5% a year from 2027, a gradual margin recovery from 21.6% to 22.5% and capital expenditure of 5.7% of revenue, with dividends covered by free cash flow and net financial debt staying below 0.5 times EBITDA. Revenue reaches €96bn by 2030 and profit from recurring operations about €21.6bn. The base case DCF value is about €433 per share, 13% above the market price, with a valuation range of about €368 to €527 for reasonable changes in discount rate and terminal growth. This is a statement about the assumptions and not a forecast of the share price.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Interim dividend of €5.50	Payable 3 December 2026	Confirms capital return capacity and a 3.4% yield on the full €13.00 dividend
Christian Dior extraordinary general meeting and Agache SCA structure	Expected end of 2026	Simplifies control; tender offer at 95% of net asset value on the minority 2.44% of Christian Dior is planned for Q1 2027
Full year 2026 results	Late January 2027 (date to be confirmed)	First test of margin stabilisation; FY2026 profit from recurring operations expected near €17bn in the base case

Event	Timing	Why it matters
First quarter 2027 revenue	April 2027 (date to be confirmed)	Whether Fashion and Leather Goods returns to growth
Chinese consumer data and Lunar New Year spending	First quarter 2027	Key swing factor for Asia, 26% of revenue
Portfolio actions	Ongoing	Disposals such as Marc Jacobs (closed 1 September 2026) and any further pruning of sub-scale brands

Source: LVMH H1 2026 and Q3 2026 releases; Cosmetics Business (24 September 2026). Dates marked to be confirmed are expected from LVMH's usual financial calendar and are not confirmed in the sources retrieved.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Fashion and Leather Goods organic growth	47% of revenue, 74% of profit	Positive organic growth for two consecutive quarters	Another quarter at minus 5% or worse
Group operating margin	Operating leverage on a fixed cost base	Above 22% on a full year basis	Below 20%
Fashion and Leather Goods margin	Profit engine	Above 33%	Below 30%
Free cash flow after leases	Funds the €13.00 dividend and buybacks	Above €11bn	Below dividend of about €6.4bn plus capex needs
Inventory days	Cash sink and discounting signal	Below 300 days	Above 320 days
Net financial debt	Balance sheet flexibility	Below €8bn	Above €12bn
Share price versus support	Technical structure	Hold above €375 and recover €425 (50 day average)	Close below €375

E. Final Investment Framework

BUSINESS QUALITY	High. Gross margin of 66% and ROIC of 14% after a two year decline show a business that earns well above its cost of capital, with profit concentrated in leather goods.
FINANCIAL QUALITY	High. Operating cash flow of €18.9bn is 1.7 times net income, net financial debt is 0.3 times EBITDA, and capex has fallen from 8.7% to 5.7% of revenue.
COMPETITIVE POSITION	Strong. Largest scale in the sector, with the broadest brand portfolio; behind Hermès on margin (21.8% against 41.8%) and similar to Richemont.
MANAGEMENT	Capable and aligned by ownership: the Arnault family holds 50.01% of capital. Capital allocation has been disciplined, but governance is concentrated and no numerical guidance is given.
INDUSTRY	Mature and cyclical. Personal luxury goods are flat at about €358bn in 2025 with long term growth of 4% to 6% a year, concentrated among wealthy spenders.
VALUATION	Moderate. 17.5 times earnings, 9.3 times EBITDA and 13.2 times free cash flow, with a DCF range of about €368 to €527 and a market price consistent with a margin about two points below the base case.
TECHNICAL AND MARKET STRUCTURE	Weak but oversold. Price is 38% lower year to date, below the 50 and 200 day averages, with RSI near 36 and the price at the 52 week low.
PRINCIPAL RISK	Structural weakness in Fashion and Leather Goods demand (Louis Vuitton and Dior), particularly in China.

PRINCIPAL CATALYST	Stabilisation or return to growth in Fashion and Leather Goods organic revenue in 2027, which would signal the end of margin compression.
KEY VARIABLE	Group operating margin, which determines most of the DCF value: each point is about €24 per share.
THESIS INVALIDATION	The investment thesis would become materially weaker if full year 2026 profit from recurring operations falls below about €16.5bn, if Fashion and Leather Goods organic revenue is negative for two further consecutive quarters, if group operating margin falls below 20%, or if free cash flow after leases drops below €9bn.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market capitalization	EUR 189.4bn	EUR 317.4bn	EUR 366.0bn (Dec 2021)
Market	Enterprise value	EUR 215.8bn	EUR 346.9bn	EUR 392.1bn (Dec 2021)
Market	Share price	EUR 384.05	EUR 635.60	EUR 727.00 (Dec 2021)
Growth	Revenue growth	-4.6% (TTM -1.4%)	-1.7%	CAGR 5.9% (FY21 to FY25)
Profitability	Gross margin	66.2%	67.0%	68.3% (FY21)
Profitability	Operating margin	21.9%	23.1%	26.7% (FY21)
Profitability	Net margin	13.5%	14.8%	18.7% (FY21)
Profitability	ROE	16.1%	18.6%	25.5% (FY21)
Profitability	ROIC	14.0%	14.7%	17.1% (FY21)
Cash flow	Operating cash flow	EUR 18,874m	EUR 18,924m	EUR 18,648m (FY21)
Cash flow	Free cash flow after leases	EUR 11,333m	EUR 10,478m	EUR 13,531m (FY21)
Leverage	Net debt incl. leases / EBITDA	0.98x	1.08x	1.11x (FY21)
Valuation	P/E	17.5x (TTM)	25.3x	30.4x (Dec 2021)
Valuation	EV/EBITDA	9.3x (TTM)	13.5x	17.9x (Dec 2021)
Valuation	P/FCF (before leases)	13.2x (TTM)	23.7x	22.9x (Dec 2021)
Market	Beta versus CAC 40 ETF	1.40 (5Y); 0.88 provider	N/A	1.46 (3Y)
Market	Volatility, annualized	25.9% (1Y)	N/A	30.1% (3Y), 29.6% (5Y)
Market	Maximum drawdown	-54.7%	N/A	Peak April 2023

Source: S&P Global Market Intelligence via StockAnalysis; LVMH results; Alpha Vantage; analyst calculations. Current: FY2025 reported and market data at 13 October 2026 (TTM to June 2026 where stated). Prior year: FY2024 and 31 December 2024 prices. Historical multiples use year end closing prices with that year's earnings, EBITDA, free cash flow and net debt including leases, so they are calculated on one basis. Free cash flow after leases is operating cash flow less capex less lease payments.

G. Sources and Methodology

Data cross-check

Figures were compared across the LVMH results releases, the S&P Global statements distributed by StockAnalysis, and the market data provider. Revenue, net profit and net financial debt agree exactly between sources (FY2025 revenue €80,807m and net profit €10,878m). Operating income differs slightly: S&P Global shows €17,668m for FY2025 while LVMH reports profit from recurring operations of €17,755m; this report uses the S&P Global figure for a consistent five year series and quotes LVMH's figure where the company measure is discussed. Net debt differs by definition: LVMH's net financial debt excludes lease liabilities (€6,857m at December 2025, €8,245m at June 2026) while S&P Global includes them (€23,259m at December 2025). Free cash flow also differs: LVMH's operating free cash flow (€11,333m) is after lease payments, while the data provider's free cash flow (€14,307m) is not. Beta is 0.88 from the data provider and 1.40 from the analyst calculation against a CAC 40 ETF; both are shown. Regional revenue is for FY2025 from the annual report; the later releases do not give regional figures. The preferred source is the company filing wherever a figure exists in both. Items not retrieved are marked as such, including marketing and selling expenses, general and administrative expenses, effective tax rate, and Moët Hennessy purchase commitments.

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Calculations

The following are calculated by the analyst and not reported: EBITDA (operating income plus depreciation and amortization), EBITDA margin, ROE (net income divided by year end common equity), ROIC (operating income taxed at 27% divided by year end equity plus total debt including leases less cash and short term investments), net debt including leases, free cash flow and free cash flow after leases, inventory and receivable days, CAGRs, trailing multiples (using the June 2026 TTM figures and the 13 October 2026 price), enterprise value (market capitalization plus net debt including leases plus minority interests), all price returns, volatility, downside volatility, beta, correlation, drawdown and technical indicators, historical year end multiples, the scenario projections, DCF values and sensitivity tables. DCF assumptions (tax 27%, WACC 8.0%, terminal growth 2.5%, risk-free rate 3.5%, equity risk premium 5.0%, working capital 12% of incremental revenue) are the analyst's and are not market data.

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